

FRVO

FRVO N/A

Buy	\$33.96 ▼ 8.76%	12M Price Target \$48.00	52-Week Range \$33.24 – \$42.65	Market Cap \$9.99B
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FRVO: Reiterate Buy on Post-IPO Pullback Amid Bullish Initiations

WHAT'S CHANGED

- FRVO sold off -8.76% to \$33.96 on elevated 2.82M volume, breaking below recent \$37-40 range and now sitting just 2% above 52-week low (\$33.24) — classic post-IPO lockup/profile-fade pressure following the WSJ-flagged "Hot IPO" debut.
- Investing.com (6/8) flagged bullish sell-side initiations betting on geothermal scale-up; options flow corroborates with 0.15 P/C ratio and unusual \$50 July call buying (2.5x OI), suggesting smart money is fading the drawdown.

IMPLICATIONS

The disconnect between sell-side initiations turning bullish and price action breaking down to 8% of 52-week range signals a classic post-IPO supply/demand imbalance rather than a fundamental rerating — Energy ETF is +1.80% over 5D while FRVO is down materially, indicating idiosyncratic selling. With AI-driven hyperscaler demand for 24/7 firm clean power accelerating (Google, Meta PPAs already in hand), FRVO's enhanced geothermal positioning remains the cleanest pure-play scale story in baseload renewables. The pullback toward \$33 offers a more attractive risk/reward entry into the structural data center power thesis.

VALUATION

At \$9.99B market cap on ~\$185M FY26E revenue, FRVO trades at ~54x EV/Revenue FY26E and ~29x FY27E — rich on absolute terms but justified by 80%+ revenue CAGR and 15+ GW project pipeline. Our \$48 PT (+41% upside) assumes 40x FY27E revenue as Cape Station Phase I de-risks and additional hyperscaler PPAs are announced. Multiple compression to 25x on execution slippage drives the bear case to \$25.

KEY RISKS

- Drilling/subsurface execution risk at Cape Station — geothermal economics are highly sensitive to well productivity and capex per MW
- Post-IPO lockup expiration could pressure shares further; only 18.3% institutional ownership leaves room for sponsor distribution
- Hyperscaler PPA concentration risk; loss or renegotiation of a flagship contract would impair the rerating narrative

RECENT NEWS

Fervo draws bullish Wall Street initiations as analysts bet on geothermal scale-up

Investing.com · 2026-06-08 18:01

A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17

Energy IPOs Are Back. The Winners Have One Thing In Common. Barrons.com · 2026-05-18 09:55

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-06-08 20:47 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

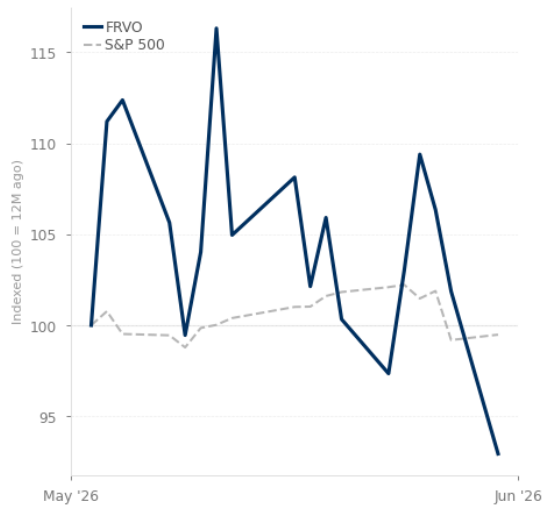
Key Data

Price (USD)	\$33.96
12M Price Target	\$48.00
Upside / (Downside)	+41.3%
Market Cap	\$9.99B
FY2026E Revenue	\$185M
FY2027E Revenue	\$340M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$40.00	\$36.00	\$30.00
6 Months	\$50.00	\$42.00	\$28.00
1 Year	\$62.00	\$48.00	\$25.00
2 Years	\$85.00	\$60.00	\$22.00
5 Years	\$140.00	\$90.00	\$18.00
10 Years	\$250.00	\$150.00	\$12.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+2.15% 1D), Energy (+1.80% 5D)

COLD SECTORS: Cons. Discretionary (-2.37% 5D), Cons. Staples

ROTATION WATCH: AI-power convergence theme continues drawing capital into firm baseload generators; expect rotation from intermittent solar/wind names into geothermal, SMR nuclear, and natural gas peakers as data center load growth dominates utility planning.

BYPRODUCT PLAY: Drilling services, downhole tools, and high-temperature electronics suppliers benefit from EGS scale-up; transmission/interconnect equipment also a derivative beneficiary as remote geothermal sites need grid tie-in.

OUTPERFORMERS & PEER CONTEXT

- OKLO (Oklo Inc): SMR developer up materially YTD as hyperscaler nuclear PPAs validate firm clean power thesis — direct read-through to FRVO's value proposition
- VST (Vistra): Best-performing IPP on AI/data center demand narrative, demonstrating premium multiples available for firm power providers

FRVO CONTEXT: FRVO is lagging the broader AI-power complex in the very near term due to post-IPO mechanics, but the bullish initiations and unusual call activity suggest institutional accumulation is forming the floor. Relative underperformance vs Energy ETF over 5D is a setup, not a thesis-breaker.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$32-34 on continued post-IPO digestion

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station delivery slip >6 months or hyperscaler PPA cancellation

Hedging: Pair against overheated AI-power names or short XLE on macro hedge